The cost factor and its importance

But is just cost reason enough for an organisation to adopt FOSS? Though an important factor, cost isn't the sole reason to adopt FOSS. Free software provides numerous benefits like greater scalability, improved performance, security, etc, which most often outweigh the cost benefit.

"Most companies experiment with FOSS because of the numerous benefits it provides, like improved performance that includes aspects of stability, interoperability, operational ease and maintenance, security, absence of a vendor lock-in, etc. Cost is an influential factor but not the sole reason for FOSS adoption. A lot of the intangible cost benefits experienced after adopting aren't even known by most people during adoption," says De.

For organisations like Sheela Foam (manufacturers of the Sleepwell brand of mattresses), Eveready Industries (one of India's leading battery manufacturers), and IT For Change (a Bangalore-based NGO), it was the complete FOSS cookie basket that made it attractive.

"Sheela Foam turned to FOSS as we wanted a cost-effective solution to host our ERP (Greatplus) system and enjoy the flexibility to deploy new applications. We initially ran our ERP system on a legacy server in a proprietary UNIX environment. Our legacy platform had limitations, thus we were unable to introduce new applications and scale effectively. To preserve our initial investment in that platform, we had to invest considerably in new hardware and licensing fees. Thus, we migrated to FOSS in April 2009 placing three of our servers on FOSS and using Red Hat Enterprise Linux," says Pertisth Mankotia, head-IT (DGM), Sheela Foam (Sleepwell).

Says Arup Choudhury, CIO, Eveready Industries, "The cost factor played a major role in deciding to go for FOSS. Besides, we also got the level of security in an x86 platform (FOSS server) that was comparable to RISC, and improved performance because of the UNIX equivalent kernel."

Gurumurthy Kasinathan, director, IT For Change (ITfC), an NGO that migrated to FOSS in early 2007 and also a participant in the study, adds: "FOSS provides benefits that are particularly important for non-profit organisations. Of course, one of the main reasons for adopting it was low cost. With no license fees to be paid, and no upgrade choices imposed by vendors, the cost is much lower with FOSS, especially in the long term. But it could also be tailored to meet our local needs and was less vulnerable to viruses. The most influential factor in ITfC adopting FOSS was the philosophy behind using FOSS, which is that anybody has the freedom to use, study, modify and share it."

However, for some organisations like the Institute of Informatics and Communication (IIC), University of Delhi, South Campus, another participant in the study, the cost factor had little influence. "University systems have diverse technological requirements to cope with the needs of numerous disciplines. To provide the latest state-of-the-art technology to the students, you can't wait for months to procure all those unaffordable closed-source solutions. Moreover, students should be exposed to the latest software solutions at the right time. To bring in this flexibility, we adopted an open source framework in 1998," says Sanjeev Singh, placement and project coordinator, Institute of Informatics and Communication, University of Delhi, South Campus. The institute has around 30 servers running on different flavours of Linux like CentOS, openSUSE, Debian, etc, and 100 desktops using various Linux distros.

> "From costs incurred on acquiring and installing software, money spent on complementary software for security, software upgradation costs and switching costs associated with moving from one type of software to another, corporates moving to FOSS save on all fronts.
>
> —Rahul De, Hewlett-Packard chair professor, IIM, Bangalore

Economic impact of FOSS

Licensing, service, distribution, maintenance, integration, migration, upgradation and exit costs are some areas on which an organisation saves. The economic impact of FOSS can be measured by three principal means: FOSS as a substitute for more expensive desktop operating systems and office productivity applications; FOSS as a substitute for more expensive server software; and FOSS-enabled cost savings from complementary products such as anti-virus software required on Windows desktops.

By using FOSS as a desktop operating system, one can save on the licence cost of the office productivity tools and the operating system. The price of operating systems like Windows ranges from Rs 2,000 to Rs 13,750, while the office productivity products like Microsoft Office cost anywhere between Rs 3,025 and Rs 26,800.

Elaborating on the cost savings, De says: "Most users of office products are unsophisticated, using only